

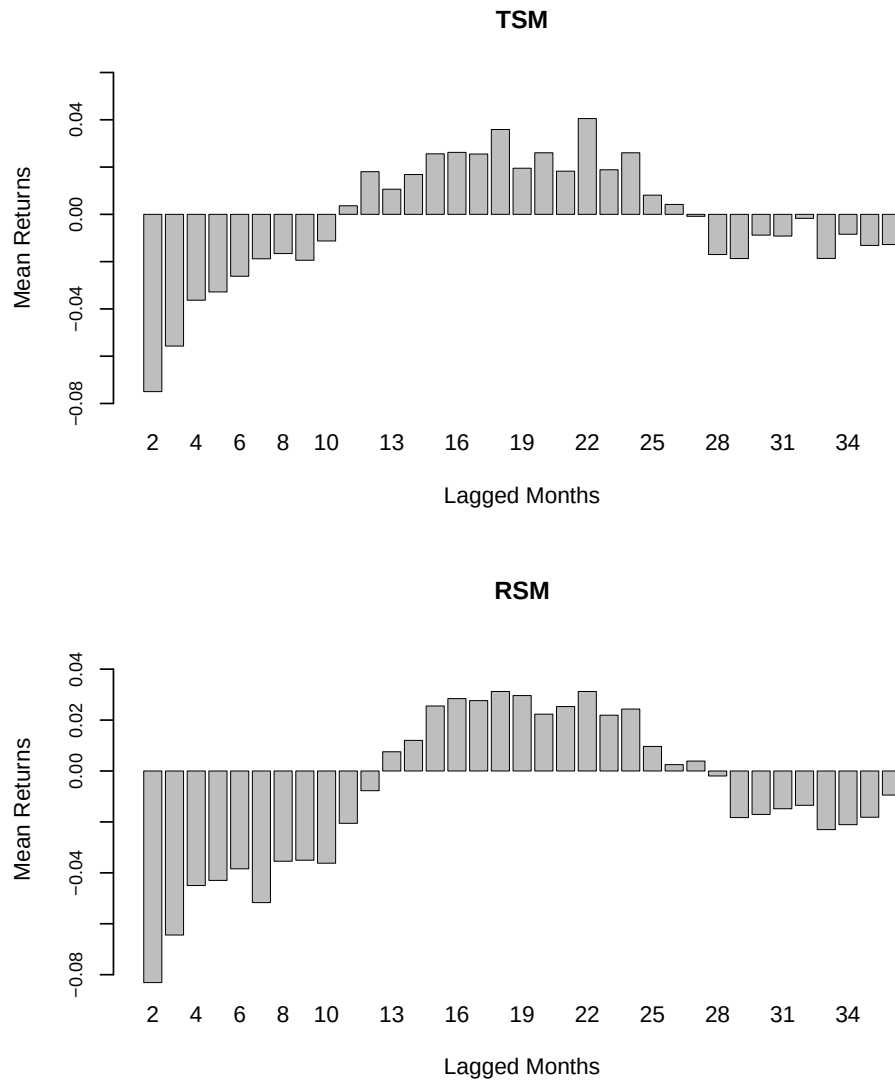


Figure 4: Timing of time series reversal.

Reported are the annualised mean returns of the contrarian TSM and RSM strategies, which is short the assets that have a buy signal and long the assets that have a sell signal. Each contrarian portfolio is hold for one month with different time lags from $h = 2$ to $h = 36$. The strategies are performed using an asset pool with 55 futures from January, 1985 to March, 2015. The contrarian profit mainly appears during 12-24 months after the trend-folling signal is formed.